

**CROWN CANTEEN LIMITED**  
**ANNUAL REPORT AND FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED**  
**31<sup>ST</sup> DECEMBER 2024**

Crown Paints Kenya PLC Building  
P.O BOX 78848-00507  
Industrial Area  
Nairobi

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

| <b><u>CONTENTS</u></b>                                     | <b><u>PAGES</u></b> |
|------------------------------------------------------------|---------------------|
| Company Information                                        | 1                   |
| Report of the Directors                                    | 2                   |
| Statement of Directors Responsibilities                    | 3                   |
| Report of the Independent Auditor                          | 4-6                 |
| Financial statements:                                      |                     |
| Statement of Profit or Loss and Other Comprehensive Income | 7                   |
| Statement of Financial Position                            | 8                   |
| Statement of Changes in Equity                             | 9                   |
| Statement of Cashflows                                     | 10                  |
| Notes to the Financial Statements                          | 11-17               |

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

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**Company Information**

|                           |                                                              |
|---------------------------|--------------------------------------------------------------|
| <b>Board of Directors</b> | Mr. Thomas Oyuago<br>Mr. David Kyalo<br>Mr. Ibrahim Munyendo |
| <b>Committee Members</b>  | Mr. Nimrod Mutua<br>Mrs. Caroline Mekenye<br>Mr. David Mutua |

**Key Committee Members**

Mr. Peter Wasike - Chairman and Member Representative of Uwezo Regulated NWD T Sacco Ltd  
Mr. Thomas Oyuago - Member Representative of Wanarangi Cooperative Society Ltd  
Mr. George Mwaura - Member Representative of Tano Sacco Society Ltd

**Company Secretary** Kairu Mbuthia Law LLP  
**Nairobi**

**Principal Bankers** Absa Bank Kenya PLC  
Lunga Lungu Branch  
**Nairobi**

**Registered Offices** L.R 209/4275  
Crown Paints Kenya PLC Building  
P.O. Box 78848-00507  
Industrial Area, Likoni Road  
**Nairobi**

**Independent Auditors** Agoro & Associates  
Certified Public Accountants(K)  
P.O.Box 43819 -00100  
Seed House (ONE), Behind Fire Station  
**Nairobi**

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

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**Report of the Directors**

The directors submit their report together with the audited financial statements for the year ended 31st December 2024 which discloses the state of affairs of the Company at the end of the year.

**1. Incorporation**

The Company is domiciled in Kenya where it is incorporated as a private company limited by shares under the Kenyan Companies Act, 2015. Address of the registered office is set out on page 1.

**2. Principal Activity**

The principal activity of the Company is the provision of quality and affordable food, snacks and beverages.

**3. Results for the year**

The results for the year ended 31st December 2024 are set out on pages 8 to 17

**4. Dividends**

The directors do not propose payment of dividends

**5. Directorate**

The Directors who held office during the year and to the date of this report are set out on page 1.

**6. Statement as to disclosure to the Company's auditor**

With respect to each director at the time this report was approved:

(a) There is, so far as the director is aware, no relevant audit information of the company that the auditor is unaware of and;

(b) The director has taken all the steps that the director ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

**7. Terms of appointment of the auditor**

Agoro and Associates continues in office in accordance with the company's Articles of Association and Section 719 of the Companies Act, 2015. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the audit engagement contract which sets out the terms of the auditor's appointment and the related fees

**By order of the Board**

.....  
**Director/Company Secretary**

Date ..... 2025

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

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**Statement of Directors Responsibilities**

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the Company keeps proper accounting records that: (a) show and explain the transactions of the Company; (b) disclose, with reasonable accuracy, the financial position of the Company; and (c) enable the directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or
- ii) selecting suitable accounting policies and applying them
- iii) making accounting estimates and judgements that are

Having made an assessment of the Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on..... 2025 and signed on its behalf by:

**Director .....**

**Date.....2025**

**Director .....**

**Date.....2025**

**Director .....**

**Date.....2025**

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

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**Report of the independent auditor to the Shareholders of Crown Canteen Limited**

**Opinion**

We have audited the accompanying financial statements of Crown Canteen Limited, set out on pages 7 to 17, which comprise the balance sheet as at 31st December 2024, the profit and loss account and statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, including material accounting policy information.

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st December 2024 and of its financial performance and cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Kenyan Companies Act, 2015.

**Basis for opinion**

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the *International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

**Other information**

The directors are responsible for the other information. Other information comprises the information in the reports accompanying the Annual Financial Statements, other than our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015, as set out below.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

**Directors' responsibility for the financial statements**

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

**Report of the independent auditor to the Shareholders of Crown Canteen Limited - Cont'd**

**Auditor's responsibilities for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Report of the independent auditor to the Shareholders of Crown Canteen Limited - Cont'd**

**Report on other matters prescribed by the Kenyan Companies Act, 2015**

In our opinion the information given in the report of the directors on page 2 is consistent with the financial statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Linus Otieno Agoro, P/No. 2225

**Agoro and Associates**  
**Certified Public Accountants (K)**  
**P.O. Box 43819 - 00100**  
**Nairobi**  
**Date.....**

**2025**



**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Statement of Profit or Loss and Other Comprehensive Income**

|                                                   | <b><u>Notes</u></b> | <b><u>2024</u></b><br><b>Kshs</b> | <b><u>2023</u></b><br><b>Kshs</b> |
|---------------------------------------------------|---------------------|-----------------------------------|-----------------------------------|
| Turnover                                          | 2.                  | 40,926,886                        | 36,376,104                        |
| Cost of sales                                     | 3.                  | <u>(35,871,295)</u>               | <u>(31,074,352)</u>               |
| <b>Gross profit</b>                               |                     | <b>5,055,591</b>                  | <b>5,301,752</b>                  |
| Other income                                      | 5.                  | <u>61,329</u>                     | <u>-</u>                          |
|                                                   |                     | <b>5,116,920</b>                  | <b>5,301,752</b>                  |
| Selling and distribution expenses                 | 6.                  | 850,367                           | 728,490                           |
| Administrative expenses                           | 7.                  | 3,796,617                         | 3,995,707                         |
| Establishment expenses                            | 9.                  | 243,680                           | 188,930                           |
| Professional expenses                             | 10.                 | 88,820                            | 70,000                            |
| Other expenses                                    | 11.                 | <u>40,000</u>                     | <u>10,000</u>                     |
| <b>Total expenses</b>                             |                     | <b>5,019,484</b>                  | <b>4,993,127</b>                  |
| <b>Profit before tax</b>                          |                     | <b>97,436</b>                     | <b>308,625</b>                    |
| Income tax expense                                | 21.                 | (88,220)                          | (113,562)                         |
| <b>Profit attributed to owners of the company</b> |                     | <b><u>9,216</u></b>               | <b><u>195,063</u></b>             |

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Statement of Financial Position**

|                                      | <b>Notes</b> | <b>2024<br/>Kshs</b> | <b>2023<br/>Kshs</b> |
|--------------------------------------|--------------|----------------------|----------------------|
| <b><u>ASSETS</u></b>                 |              |                      |                      |
| <b><u>Non - Current Assets</u></b>   |              |                      |                      |
| Property, plant & equipment          | 14.          | 672,907              | 710,278              |
| Intangible Assets                    | 15.          | 30,024               | 49,444               |
| <b>Total Non - Current Assets</b>    |              | <b>702,931</b>       | <b>759,722</b>       |
| <b><u>Current Assets</u></b>         |              |                      |                      |
| Inventories                          | 16.          | 341,211              | 310,363              |
| Trade and other receivables          | 17.          | 3,554,405            | 2,965,970            |
| Cash and cash equivalents            | 18.          | 1,351,846            | 2,518,279            |
| Tax recoverable                      | 21.          | 460,315              | 418,052              |
| <b>Total Current Assets</b>          |              | <b>5,707,777</b>     | <b>6,212,664</b>     |
| <b>Total Assets</b>                  |              | <b>6,410,708</b>     | <b>6,972,386</b>     |
| <b><u>EQUITY AND LIABILITIES</u></b> |              |                      |                      |
| <b><u>Capital and Reserves</u></b>   |              |                      |                      |
| Share capital                        | 12.          | 100,000              | 100,000              |
| Retained earnings                    | 13.          | 2,562,618            | 2,553,402            |
| <b>Total Equity</b>                  |              | <b>2,662,618</b>     | <b>2,653,402</b>     |
| <b><u>Current Liabilities</u></b>    |              |                      |                      |
| Trade and other payables             | 19.          | 3,748,090            | 2,323,984            |
| Management fees payable              | 20.          | -                    | 1,995,000            |
|                                      |              | <b>3,748,090</b>     | <b>4,318,984</b>     |
| <b>Total Equity and Liabilities</b>  |              | <b>6,410,708</b>     | <b>6,972,386</b>     |

The financial statements on pages 7 to 16 were approved by the board of directors on  
..... and were signed on its behalf by :

.....  
**Director**

.....  
**Director**

.....  
**Director**

**Date .....2025**

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Statement of Changes in Equity**

|                               | Notes: | Share<br>Capital<br>Kshs | Retained<br>Earnings<br>Kshs | Total<br>Kshs    |
|-------------------------------|--------|--------------------------|------------------------------|------------------|
| <b>Year ended 31.12.2024</b>  |        |                          |                              |                  |
| As at 1.1.2024                |        | 100,000                  | 2,553,402                    | 2,653,402        |
| Profit for the year after tax |        | -                        | 9,216                        | 9,216            |
| Provision for honoraria       |        | -                        | -                            | -                |
| <b>As at 31.12.2024</b>       |        | <b>100,000</b>           | <b>2,562,619</b>             | <b>2,662,619</b> |
| <b>Year ended 31.12.2023</b>  |        |                          |                              |                  |
| As at 1.1.2023                |        | 100,000                  | 2,968,339                    | 3,068,339        |
| Profit for the year after tax |        | -                        | 195,063                      | 195,063          |
| Provision for honoraria       | 19.    | -                        | (610,000)                    | (610,000)        |
| <b>As at 31.12.2023</b>       |        | <b>100,000</b>           | <b>2,553,402</b>             | <b>2,653,402</b> |

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

| <b><u>Statement of Cash flows</u></b>                         | <b>Notes:</b> | <b>2024<br/>Kshs</b> | <b>2023<br/>Kshs</b> |
|---------------------------------------------------------------|---------------|----------------------|----------------------|
| <b>Cashflows from operating activities</b>                    |               |                      |                      |
| Profit before tax                                             |               | 97,436               | 308,625              |
| <b>Adjustments for:</b>                                       |               |                      |                      |
| Depreciation on property, plant & equipment                   | 14            | 224,488              | 252,923              |
| Amortization on intangible assets                             | 9.            | 19,420               | 19,420               |
| Provisions in the current year                                | 19.           | 1,735,207            | 904,179              |
| <b>Operating profit before working capital changes</b>        |               | <b>2,076,551</b>     | <b>1,485,147</b>     |
| Decrease/(increase) in:                                       |               |                      |                      |
| Inventories                                                   | 16.           | (30,848)             | (32,547)             |
| Trade and other receivables                                   | 17.           | (588,435)            | 898,481              |
| Increase/(decrease) in:                                       |               |                      |                      |
| Trade and other payables                                      | 19.           | (311,101)            | (847,102)            |
| Management fees                                               |               | (1,995,000)          | 285,000              |
| <b>Cash generated from/(used in) operations</b>               |               | <b>(848,834)</b>     | <b>1,788,979</b>     |
| Income tax paid                                               | 21.           | (130,483)            | (100,000)            |
| <b>Net cash generated from/(used in) operating activities</b> |               | <b>(979,316)</b>     | <b>1,688,979</b>     |
| <b>Cash flows from investing activities</b>                   |               |                      |                      |
| Purchase of property, plant and equipment                     | 14.           | (205,788)            | (391,349)            |
| Disposal of an asset                                          | 14.           | 18,671               | -                    |
| <b>Net cash generated from/(used in) investing activities</b> |               | <b>(187,117)</b>     | <b>(391,349)</b>     |
| <b>Net (decrease)/increase in cash and cash equivalents</b>   |               | <b>(1,166,433)</b>   | <b>1,297,631</b>     |
| <b>Cash and cash equivalents at start of year</b>             |               | <b>2,518,279</b>     | <b>1,220,648</b>     |
| <b>Cash and cash equivalents at end of year</b>               | 18.           | <b>1,351,846</b>     | <b>2,518,279</b>     |

**Notes to the Financial Statements**

**1. Accounting Policies**

The accounting policy information considered material in the preparation of these financial statements is set out below:

**(a) Basis of Preparation**

The financial statements are prepared on a going concern basis and in compliance with IFRS Accounting Standards (IFRS) issued by the International Accounting Standards Board. They are presented in Kenyan Shillings, which is also the functional currency.

The financial statements comprise a statement of profit or loss and other comprehensive income, statement of financial position, statement of changes in equity, statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit and loss account. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expense (including reclassification adjustments) that are not recognised in the profit and loss account as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to the profit and loss account in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

**Measurement basis**

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies summarised below.

Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Company using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

**(b) Revenue recognition**

The Company recognises revenue as and when it satisfies a performance obligation by transferring control of a product or service to a customer. The amount of revenue recognized is the amount the company expects to receive in accordance with terms of the contract, and excludes amounts collected on behalf of third parties, such as Value Added Tax.

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Note to the financial Statements - cont'd**

© **Current tax**

Current tax is the amount of income tax payable on the taxable profit for the year, and any adjustment to tax payable in respect of prior years, determined in accordance with the Kenyan Income Tax Act.

(d) **Property, plant and equipment**

All categories of property, plant and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system, that is an integral part of the related hardware is capitalised as part of the computer equipment. Freehold land/buildings/plant and machinery/furniture and equipment/computers, copiers and faxes/motor vehicles are subsequently carried at a revalued amount, based on annual/triennial valuations by external independent valuers, less accumulated depreciation and accumulated impairment losses. All other items of property, plant and equipment are subsequently carried at cost less accumulated depreciation and accumulated impairment losses.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that it will increase the future economic benefits associated with the item that will flow to the Company over those originally assessed and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the profit and loss account in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the profit and loss account. Annually, the difference between the depreciation charge based on the revalued carrying amount of the asset charged to the profit and loss account and depreciation based on the asset's original cost (excess depreciation) is transferred from the revaluation surplus reserve to retained earnings.

Depreciation is calculated using the reducing balance method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates

|                              | <b><u>Rates</u></b> |
|------------------------------|---------------------|
| Kitchen Equipments           | <b>20%</b>          |
| Crockery and Cutlery         | <b>33%</b>          |
| Computers & Office equipment | <b>25%</b>          |
| Motor vehicles and cycles    | <b>25%</b>          |

(e) **Intangible assets**

Software licence costs and computer software that are not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortisation and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the Company are recognized as intangible assets.

Amortisation is calculated using the straight line method to write down the cost of each licence or item of software to its residual value over its estimated useful life.

**Note to the financial Statements - cont'd**

**(f) Inventories**

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads, but excludes interest expense. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

**(g) Cash and cash equivalents**

Cash and cash equivalents include cash in hand and demand and term deposits, with maturities of three months or less from the date of acquisition, that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, net of bank overdrafts. In the balance sheet, bank overdrafts are included as borrowings under current liabilities.

**(h) Provisions for liabilities**

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

**(i) Comparatives**

Where necessary, the comparative figures have been adjusted to conform with changes in presentation

**(j) Financial risk management**

The Company's activities expose it to a variety of financial risks including credit, liquidity and market risks. The Company's overall risk management policies are set out by the board and implemented by the management, and focus on the unpredictability of changes in the business environment and seek to minimise the potential adverse effects of such risks on the Company's performance by setting acceptable levels of risk. The Company does not hedge against any risks.

**Credit risk and**

**(i) expected credit losses**

Credit risk on trade receivables is managed by ensuring that credit is extended to customers with an established credit history. The credit history is determined by taking into account the financial position, past experience and other relevant factors. Credit is managed by setting a credit limit and credit period for each customer. The utilisation of the credit limits and the credit period is monitored by management on a monthly basis.

**(ii) Liquidity risk**

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with financial liabilities. The board has developed a risk management framework for the management of the Company's short, medium and long-term liquidity requirements thereby ensuring that all financial liabilities are settled as they fall due. The Company manages liquidity risk by continuously reviewing forecasts and actual cash flows, and maintaining banking facilities to cover any shortfalls. Note 13 provides details of additional undrawn facilities that may be utilised by the Company to further reduce liquidity risk.

**(iii) Capital management**

The Company's objective in managing its capital is to ensure that it supports the development of its business and is able to continue as a going concern, while at the same time maximising the return to its shareholders. The Company is not subject to any external capital requirements.

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Note to the financial Statements - cont'd**

|                                              | <b>2024</b>              | <b>2023</b>              |
|----------------------------------------------|--------------------------|--------------------------|
|                                              | <b><u>Kshs</u></b>       | <b><u>Kshs</u></b>       |
| <b>2. Turnover</b>                           |                          |                          |
| Credit sales                                 | 38,710,050               | 34,465,285               |
| Cash sales                                   | 2,216,836                | 1,910,819                |
| <b>Total</b>                                 | <b><u>40,926,886</u></b> | <b><u>36,376,104</u></b> |
| <b>3. Cost of sales</b>                      |                          |                          |
| Opening inventories                          | 310,363                  | 277,816                  |
| Purchases                                    | 25,817,016               | 22,809,235               |
| Direct costs - note 4                        | 10,085,127               | 8,297,665                |
| Less: Closing inventories                    | (341,211)                | (310,363)                |
| <b>Total</b>                                 | <b><u>35,871,295</u></b> | <b><u>31,074,352</u></b> |
| <b>4. Direct costs</b>                       |                          |                          |
| Salaries and wages                           | 7,301,175                | 6,295,936                |
| NSSF Company contribution                    | 394,917                  | 212,801                  |
| Fuel and gas                                 | 1,334,256                | 1,067,050                |
| Packing material                             | 738,241                  | 367,655                  |
| Cleaning detergents                          | 92,050                   | 101,300                  |
| Depreciation on property, plant & equipment  | 224,488                  | 252,923                  |
| <b>Total</b>                                 | <b><u>10,085,127</u></b> | <b><u>8,297,665</u></b>  |
| <b>5. Other income</b>                       |                          |                          |
| Other income-Gain on disposal of asset       | 61,329                   | -                        |
| <b>Total</b>                                 | <b><u>61,329</u></b>     | <b><u>-</u></b>          |
| <b>6. Selling and distribution expenses:</b> |                          |                          |
| Transport vehicle hire and subsistence       | 202,320                  | 186,187                  |
| Motor vehicle running expense                | 648,047                  | 542,303                  |
| <b>Total</b>                                 | <b><u>850,367</u></b>    | <b><u>728,490</u></b>    |
| <b>7. Administrative expenses:</b>           |                          |                          |
| Management fee - note 8                      | -                        | 2,100,000                |
| Staff uniforms                               | 115,248                  | 100,184                  |
| Printing and stationery                      | 167,125                  | 236,383                  |
| Medical expenses                             | 14,700                   | 91,890                   |
| Directors and Senior staff                   | 2,959,665                | 994,400                  |
| Postages and telephones                      | 173,500                  | 181,900                  |
| AGM Expenses                                 | 120,000                  | 100,000                  |
| Bank charges                                 | 80,424                   | 92,675                   |
| Insurance                                    | 150,955                  | 84,775                   |
| Miscellaneous                                | 15,000                   | 13,500                   |
| <b>Total</b>                                 | <b><u>3,796,617</u></b>  | <b><u>3,995,707</u></b>  |



**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Note to the financial Statements - cont'd**

**8. Management fees expenses (Related party transactions):**

The following transactions were carried out with related parties which are related through common shareholding and common directorships.

|                              |          |                  |
|------------------------------|----------|------------------|
| Wanarangi SACCO Society Ltd  | -        | 665,000          |
| Uwezo NWDT SACCO Society Ltd | -        | 665,000          |
| Tano SACCO Society Ltd       | -        | 665,000          |
| Withholding tax              | -        | 105,000          |
| <b>Total</b>                 | <b>-</b> | <b>2,100,000</b> |

**9. Establishment:**

|                                   |                |                |
|-----------------------------------|----------------|----------------|
| Repairs and maintenance           | 128,560        | 123,010        |
| Licenses                          | 95,700         | 46,500         |
| Amortisation of intangible assets | 19,420         | 19,420         |
| <b>Total</b>                      | <b>243,680</b> | <b>188,930</b> |

**10. Professional expenses:**

|                                       |               |               |
|---------------------------------------|---------------|---------------|
| Audit fees:                           | 70,000        | 70,000        |
| Company Secretarial and disbursements | 18,820        | -             |
| <b>Total</b>                          | <b>88,820</b> | <b>70,000</b> |

**11. Other expenses:**

|              |               |               |
|--------------|---------------|---------------|
| Donation     | 40,000        | 10,000        |
| <b>Total</b> | <b>40,000</b> | <b>10,000</b> |

**12. Share capital:**

**Authorised / Nominal**

1,000 Ordinary shares of shs 100 each

**Issued and Fully Paid**

|                                       |                |                |
|---------------------------------------|----------------|----------------|
| 1,000 Ordinary shares of shs 100 each | 100,000        | 100,000        |
| <b>Closing balance</b>                | <b>100,000</b> | <b>100,000</b> |

**13. Retained earnings:**

|                                           |                  |                  |
|-------------------------------------------|------------------|------------------|
| Balance brought forward                   | 2,553,402        | 2,968,339        |
| Net profit / (loss) retained for the year | 9,216            | (414,937)        |
| <b>Closing balance</b>                    | <b>2,562,618</b> | <b>2,553,402</b> |

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Note to the financial Statements - cont'd**

**14. Property plant & equipment**

| <b>Year ended 31st Dec.2024</b> | <b>Kitchen equipment</b> | <b>Crockery &amp; cutlery</b> | <b>Computers &amp; Office equipment</b> | <b>Motor vehicle &amp; cycle</b> | <b>Total</b>     |
|---------------------------------|--------------------------|-------------------------------|-----------------------------------------|----------------------------------|------------------|
| <b>Cost or Valuation</b>        | <b>Kshs</b>              | <b>Kshs</b>                   | <b>Kshs</b>                             | <b>Kshs</b>                      | <b>Kshs</b>      |
| As at 1.1.2024                  | 890,928                  | 1,289,501                     | 156,900                                 | 1,353,680                        | 3,691,009        |
| Additions                       | 109,200                  | -                             | 96,588                                  | -                                | 205,788          |
| Disposal                        | -                        | -                             | -                                       | (186,500)                        | (186,500)        |
| <b>As at 31.12.2024</b>         | <b>#####</b>             | <b>1,289,501</b>              | <b>253,488</b>                          | <b>1,167,180</b>                 | <b>3,710,297</b> |

|                         |                |                  |                |                  |                  |
|-------------------------|----------------|------------------|----------------|------------------|------------------|
| <b>Depreciation</b>     |                |                  |                |                  |                  |
| As at 1.1.2024          | 591,790        | 1,041,835        | 104,762        | 1,242,346        | 2,980,731        |
| Disposal                | -              | -                | -              | (167,829)        | (167,829)        |
| Charge for the year     | 81,668         | 82,473           | 37,182         | 23,166           | 224,488          |
| <b>As at 31.12.2024</b> | <b>673,458</b> | <b>1,124,308</b> | <b>141,944</b> | <b>1,097,683</b> | <b>3,037,390</b> |

|                         |                |                |                |               |                |
|-------------------------|----------------|----------------|----------------|---------------|----------------|
| <b>Net Book value</b>   |                |                |                |               |                |
| <b>As at 31.12.2024</b> | <b>326,670</b> | <b>165,193</b> | <b>111,545</b> | <b>69,497</b> | <b>672,907</b> |

| <b>Year ended 31st Dec.2023</b> | <b>Kitchen equipment</b> | <b>Crockery &amp; cutlery</b> | <b>Computers &amp; Office equipment</b> | <b>Motor vehicle &amp; cycle</b> | <b>Total</b>     |
|---------------------------------|--------------------------|-------------------------------|-----------------------------------------|----------------------------------|------------------|
| <b>Cost or Valuation</b>        | <b>Kshs</b>              | <b>Kshs</b>                   | <b>Kshs</b>                             | <b>Kshs</b>                      | <b>Kshs</b>      |
| As at 1.1.2023                  | 784,303                  | 1,033,777                     | 127,900                                 | 1,353,680                        | 3,299,660        |
| Additions                       | 106,625                  | 255,724                       | 29,000                                  | -                                | 391,349          |
| <b>As at 31.12.2023</b>         | <b>890,928</b>           | <b>1,289,501</b>              | <b>156,900</b>                          | <b>1,353,680</b>                 | <b>3,691,009</b> |

|                         |                |                  |                |                  |                  |
|-------------------------|----------------|------------------|----------------|------------------|------------------|
| <b>Depreciation</b>     |                |                  |                |                  |                  |
| As at 1.1.2023          | 517,005        | 918,187          | 87,382         | 1,205,235        | 2,727,808        |
| Charge for the year     | 74,785         | 123,648          | 17,380         | 37,111           | 252,923          |
| <b>As at 31.12.2023</b> | <b>591,790</b> | <b>1,041,835</b> | <b>104,762</b> | <b>1,242,346</b> | <b>2,980,731</b> |

|                         |                |                |               |                |                |
|-------------------------|----------------|----------------|---------------|----------------|----------------|
| <b>Net Book Value</b>   |                |                |               |                |                |
| <b>As at 31.12.2023</b> | <b>299,138</b> | <b>247,666</b> | <b>52,138</b> | <b>111,334</b> | <b>710,278</b> |

|                                                | <b>2024</b>    | <b>2023</b>    |
|------------------------------------------------|----------------|----------------|
|                                                | <b>Kshs</b>    | <b>Kshs</b>    |
| <b>15. Intangible Asset - Payroll software</b> |                |                |
| Cost                                           | 133,800        | 133,800        |
| Additions                                      | -              | -              |
|                                                | 133,800        | 133,800        |
| Amortization charge for the year               | (103,776)      | (84,356)       |
| <b>Net book value</b>                          | <b>30,024</b>  | <b>49,444</b>  |
| <b>16. Inventory:</b>                          |                |                |
| Opening balance                                | 310,363        | 266,502        |
| Add: Purchases                                 | 25,817,017     | 22,809,235     |
| Less: Issues/usage                             | (25,786,169)   | (22,765,374)   |
| <b>Closing balance</b>                         | <b>341,211</b> | <b>310,363</b> |

**Crown Canteen Ltd**  
**Annual Reports and Financial Statements**  
**For the year ended 31st December 2024**

**Note to the financial Statements - cont'd**

|                                                  | <b>2024</b>      | <b>2023</b>      |                |                  |
|--------------------------------------------------|------------------|------------------|----------------|------------------|
|                                                  | <b>Kshs</b>      | <b>Kshs</b>      |                |                  |
| <b>17. Trade and other receivables:</b>          |                  |                  |                |                  |
| Debtors -Crown Paints                            | 2,022,921        | 1,560,540        |                |                  |
| Trade Debtors                                    | 1,455,184        | 1,346,130        |                |                  |
| Staff Debtors                                    | 76,300           | 59,300           |                |                  |
| <b>Total</b>                                     | <b>3,554,405</b> | <b>2,965,970</b> |                |                  |
| <b>18. Cash and cash equivalents:</b>            |                  |                  |                |                  |
| Absa Bank Kenya PLC                              | 133,196          | 1,984,784        |                |                  |
| KCB Bank                                         | 988,650          | 303,495          |                |                  |
| Cash in hand                                     | 230,000          | 230,000          |                |                  |
| <b>Total</b>                                     | <b>1,351,846</b> | <b>2,518,279</b> |                |                  |
| <b>19. Trade and other payables</b>              |                  |                  |                |                  |
| Trade payables                                   | 2,012,883        | 805,884          |                |                  |
| Audit fees                                       | 70,000           | 70,000           |                |                  |
| Accountancy fees                                 | -                | 200,000          |                |                  |
| Legal fees                                       | 51,200           | 51,200           |                |                  |
| Accruals                                         | 937,307          | 481,900          |                |                  |
| Withholding tax payable                          | 56,700           | 105,000          |                |                  |
| Proposed honoraria                               | 620,000          | 610,000          |                |                  |
| <b>Total</b>                                     | <b>3,748,090</b> | <b>2,323,984</b> |                |                  |
| <b>20. Management fees payable:</b>              |                  |                  |                |                  |
|                                                  | <b>Wanarangi</b> | <b>Uwezo</b>     | <b>Tano</b>    | <b>Total</b>     |
| Outstanding balance b/fwd.                       | 665,000          | 665,000          | 665,000        | 1,995,000        |
| Add: Net amount due for current year             | -                | -                | -              | -                |
| <b>Total</b>                                     | <b>665,000</b>   | <b>665,000</b>   | <b>665,000</b> | <b>1,995,000</b> |
| Lee: Amount paid during the year                 | (665,000)        | (665,000)        | (665,000)      | (1,995,000)      |
| <b>Outstanding balance c/fwd.</b>                | <b>-</b>         | <b>-</b>         | <b>-</b>       | <b>-</b>         |
|                                                  | <b>2024</b>      | <b>2023</b>      |                |                  |
|                                                  | <b>Kshs</b>      | <b>Kshs</b>      |                |                  |
| <b>21. (a) Tax liability:</b>                    |                  |                  |                |                  |
| Balance b/fwd.                                   | (418,052)        | (431,614)        |                |                  |
| Tax charge for the period                        | 57,737           | 113,562          |                |                  |
| Underprovision in prior year tax                 | 30,483           | -                |                |                  |
|                                                  | 88,220           | 113,562          |                |                  |
|                                                  | (329,832)        | (318,052)        |                |                  |
| Less: Total tax paid during the year (note 21 b) | (130,483)        | (100,000)        |                |                  |
| <b>Balance of tax payable/recoverable</b>        | <b>(460,315)</b> | <b>(418,052)</b> |                |                  |
| <b>(b) Tax paid during the year:</b>             |                  |                  |                |                  |
| Balance of previous year paid                    |                  |                  |                |                  |
| Instalment tax paid during the year              | (100,000)        | (100,000)        |                |                  |
| Prior year tax paid during the year              | (30,483)         | -                |                |                  |
| <b>Total tax paid during the year</b>            | <b>(130,483)</b> | <b>(100,000)</b> |                |                  |

**Crown Canteen Ltd**  
**PIN: P051231561Q**  
**Period covered: 12 Months**

**TAX COMPUTATION:**

**2024**  
**Kshs**

|                                         |                            |                  |
|-----------------------------------------|----------------------------|------------------|
| Net profit before tax                   |                            | 97,436           |
| Add back:                               |                            |                  |
|                                         | Depreciation               | 224,488          |
|                                         | Donations& penalties       | 40,000           |
|                                         | Amortization               | 19,420           |
| Adjusted profit before tax              |                            | <b>381,344</b>   |
| Less:                                   |                            |                  |
|                                         | Gain on disposal of assets | (61,329)         |
|                                         | WTA - Kitchen Equipments   | (57,931)         |
|                                         | WTA - Computers& Laptops   | (22,122)         |
|                                         | WTA - Cutlery and Crockery | (24,768)         |
|                                         | WTA - Class (iii) 25%      | (22,736)         |
|                                         |                            | <b>(188,886)</b> |
| Taxable income                          |                            | 192,458          |
| Taxable income for the period @ 30% c/f |                            | <b>57,737</b>    |

**ADDITIONS TO KITCHEN EQUIPMENTS**

|                                                                       | WDV<br>01.12.2024 | Amount         | Total<br>Shs   | Class (iv)<br>Shs | WDV<br>31.12.2024 |
|-----------------------------------------------------------------------|-------------------|----------------|----------------|-------------------|-------------------|
|                                                                       | Shs               | Shs            | Shs            | 10.00%            | Shs               |
| B/Forward                                                             | 25,251            |                | 25,251         | 2,525             | 22,726            |
| Coolbox                                                               | 2,842             |                | 2,842          | 284               | 2,558             |
| KITCHEN -BAKING OVEN                                                  | 4,639             |                | 4,639          | 464               | 4,175             |
| Kitchen Equipment                                                     | 2,004             |                | 2,004          | 200               | 1,804             |
| PPE-FRIDGE,BLENDER,MICROWAVE                                          | 28,274            |                | 28,274         | 2,827             | 25,447            |
| Crockery and Cutlery -MINIMAX ENTERPRISES LTD                         | 4,202             |                | 4,202          | 420               | 3,782             |
| HOT POINT DEEP FREEZER                                                | 22,639            |                | 22,639         | 2,264             | 20,376            |
| NEW MICROWAVE                                                         | 8,425             |                | 8,425          | 842               | 7,582             |
| MAHOGANY COOKING STICKS                                               | 7,307             |                | 7,307          | 731               | 6,576             |
| SUFURIA FOR NAIROBI CANTEEN                                           | 19,256            |                | 19,256         | 1,926             | 17,330            |
| SUFURIA FOR KISUMU CANTEEN                                            | 7,966             |                | 7,966          | 797               | 7,170             |
| FOOD WARMERS KISUMU                                                   | 5,276             |                | 5,276          | 528               | 4,748             |
| SCALE REPAIR & NEW SCALE SUPPLY                                       | 18,940            |                | 18,940         | 1,894             | 17,046            |
| WEIGHING SCALE FOR KISUMU                                             | 9,496             |                | 9,496          | 950               | 8,547             |
| ETR MACHINE                                                           | 13,189            |                | 13,189         | 1,319             | 11,870            |
|                                                                       | 21,103            |                | 21,103         | 2,110             | 18,992            |
| BONESAW CUTTER (DK KITCHEN)                                           | 34,453            |                | 34,453         | 3,445             | 31,008            |
| P-CASH-NRB                                                            | 1,075             |                | 1,075          | 107               | 967               |
| MICROWAVE -MOGADISHU                                                  | 16,534            |                | 16,534         | 1,653             | 14,881            |
| SUFURIA,HOTPOTS & CHOPPING BOARD                                      | 28,350            |                | 28,350         | 2,835             | 25,515            |
| STAINLESS STEEL SUFURIA                                               | 47,250            |                | 47,250         | 4,725             | 42,525            |
| BONESAW /MINCER                                                       | 45,675            |                | 45,675         | 4,568             | 41,108            |
| SUFURIA                                                               | 38,475            |                | 38,475         | 3,848             | 34,628            |
| MICROWAVE                                                             | 33,296            |                | 33,296         | 3,330             | 29,966            |
| ELECTRONIC WEIGHING MACHINE                                           | 24,192            |                | 24,192         | 2,419             | 21,773            |
| storage container kenpoly-8,735), sufuria & strainer kaluworks-19,770 | -                 | 28,505         | 28,505         | 2,851             | 25,655            |
| grill nyr-15,000)                                                     | -                 | 15,000         | 15,000         | 1,500             | 13,500            |
| water dispenser                                                       | -                 | 23,400         | 23,400         | 2,340             | 21,060            |
| mocro wave                                                            | -                 | 42,295         | 42,295         | 4,230             | 38,066            |
| <b>SUBTOTAL</b>                                                       | <b>470,108</b>    | <b>109,200</b> | <b>579,308</b> | <b>57,931</b>     | <b>521,377</b>    |

## ADDITIONS TO COMPUTERS AND LAPTOPS

LAP TOP FOR CANTEEN ADMIN  
LAP TOP FOR CANTEEN CLERK

| WDV<br>01.01.2024 | Addition<br>Shs | Total<br>Shs  | Allowance<br>Shs | WDV<br>31.12.2024 |
|-------------------|-----------------|---------------|------------------|-------------------|
| -                 | 48,488          | 48,488        | 12,122           | 36,366            |
| -                 | 40,000          | 40,000        | 10,000           | 30,000            |
| -                 | <b>88,488</b>   | <b>88,488</b> | <b>22,122</b>    | <b>66,366</b>     |

## ADDITIONS TO CUTLERY AND CROCKERY

B/Forward  
Crockery and Cutlery-SNOOPY LTD  
CROCKERY  
UTENSILS  
UTENSILS-KISUMU CANTEEN  
KISUMU UTENSILS  
UTENSILS FOR KISUMU CANTEEN  
SHOPPING PLATES  
WEIGHING POWER  
MINIMAX ENTER DINNER PLATES  
BESTMARK TRADE PLATES & BOWLS  
MINIMAX ENTER SOUP BOWELS  
CPKPLC  
UTENSILS  
UTENSILS  
Blender & toaster-10,007  
Grinder-5000)  
sufuria-12,126  
Tea cups fxn-15,200  
Utensils nkr  
Utensils-10,500  
utensils-30,700  
utensils-machakos-  
Dinner plates-47,500)  
**Subtotal**

| WDV<br>01.01.2024 | Addition<br>Shs | Total<br>Shs   | Allowance<br>Shs | WDV<br>31.12.2024 |
|-------------------|-----------------|----------------|------------------|-------------------|
| -                 | -               | -              | 10%              | Shs               |
| 176               | -               | 176            | 18               | 158               |
| 879               | -               | 879            | 88               | 791               |
| 3,267             | -               | 3,267          | 327              | 2,940             |
| 7,943             | -               | 7,943          | 794              | 7,149             |
| 2,268             | -               | 2,268          | 227              | 2,041             |
| 1,463             | -               | 1,463          | 146              | 1,317             |
| 6,427             | -               | 6,427          | 643              | 5,784             |
| 9,363             | -               | 9,363          | 936              | 8,427             |
| 13,296            | -               | 13,296         | 1,330            | 11,966            |
| 9,580             | -               | 9,580          | 958              | 8,622             |
| 16,620            | -               | 16,620         | 1,662            | 14,958            |
| 801               | -               | 801            | 80               | 721               |
| 1,557             | -               | 1,557          | 156              | 1,401             |
| 3,471             | -               | 3,471          | 347              | 3,124             |
| 6,675             | -               | 6,675          | 667              | 6,007             |
| 3,335             | -               | 3,335          | 334              | 3,002             |
| 8,088             | -               | 8,088          | 809              | 7,279             |
| 12,836            | -               | 12,836         | 1,284            | 11,552            |
| 43,962            | -               | 43,962         | 4,396            | 39,566            |
| 7,004             | -               | 7,004          | 700              | 6,303             |
| 20,477            | -               | 20,477         | 2,048            | 18,429            |
| 40,940            | -               | 40,940         | 4,094            | 36,846            |
| 27,252            | -               | 27,252         | 2,725            | 24,527            |
| <b>247,680</b>    | -               | <b>247,680</b> | <b>24,768</b>    | <b>222,912</b>    |

## ADDITIONS TO MOTOR VEHICLES

KCE 619E- NISSAN VANNETTE  
KAV813X -MARUTI  
KMDT294Z  
KMDV 092G  
**Subtotal**

| WDV<br>01.12.2024 | Disposal<br>Amount | Total<br>Shs  | Class (iv)<br>Shs | WDV<br>31.12.2024 |
|-------------------|--------------------|---------------|-------------------|-------------------|
| Shs               | Shs                | Shs           | 25.0%             | Shs               |
| 68,552            | -                  | 68,552        | 17,138            | 51,414            |
| 18,671            | (18,671)           | -             | -                 | -                 |
| 11,751            | -                  | 11,751        | 2,938             | 8,813             |
| 10,642            | -                  | 10,642        | 2,661             | 7,982             |
| <b>109,617</b>    | <b>(18,671)</b>    | <b>90,946</b> | <b>22,736</b>     | <b>68,209</b>     |